STRATEGIC PLANNING

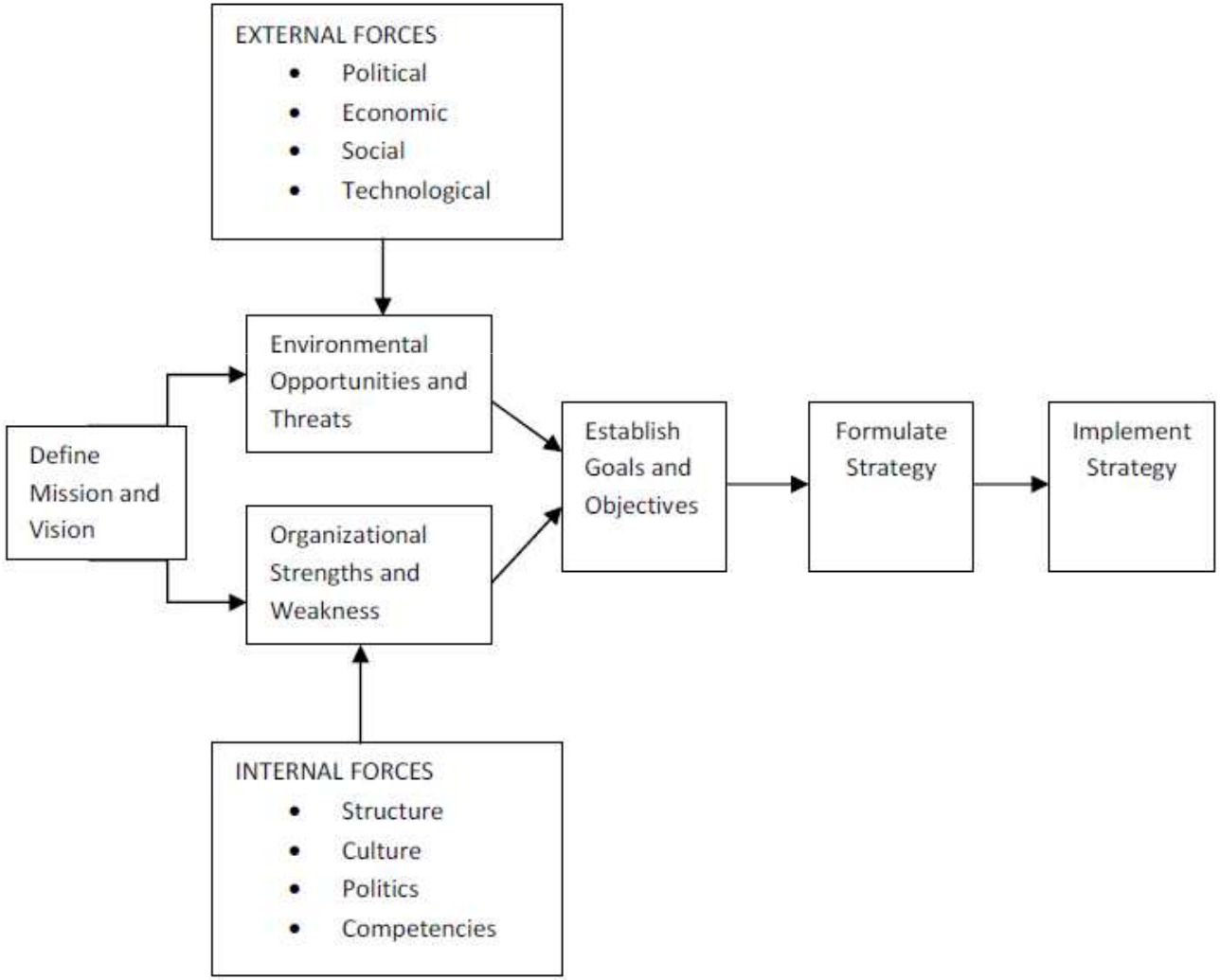
What is a Strategy?

- A plan of action designed to achieve a long-term goal or overall aim
- A business strategy is a plan for a 3 to 5 year period into the future
- A proper strategy includes the goals and direction the organization will be pursuing over a defined period (usually 3-5 years)

Strategic Planning

- It is a management activity carried out to formulate a strategy
- It takes into consideration the organization's mission and vision and analyzes the business environment to determine the best path for the organization to take
- Although the strategic plan is for a 3-5 year period, it is wise for the company to revise this plan to cater to changes in its environment

Strategic Planning Process Model



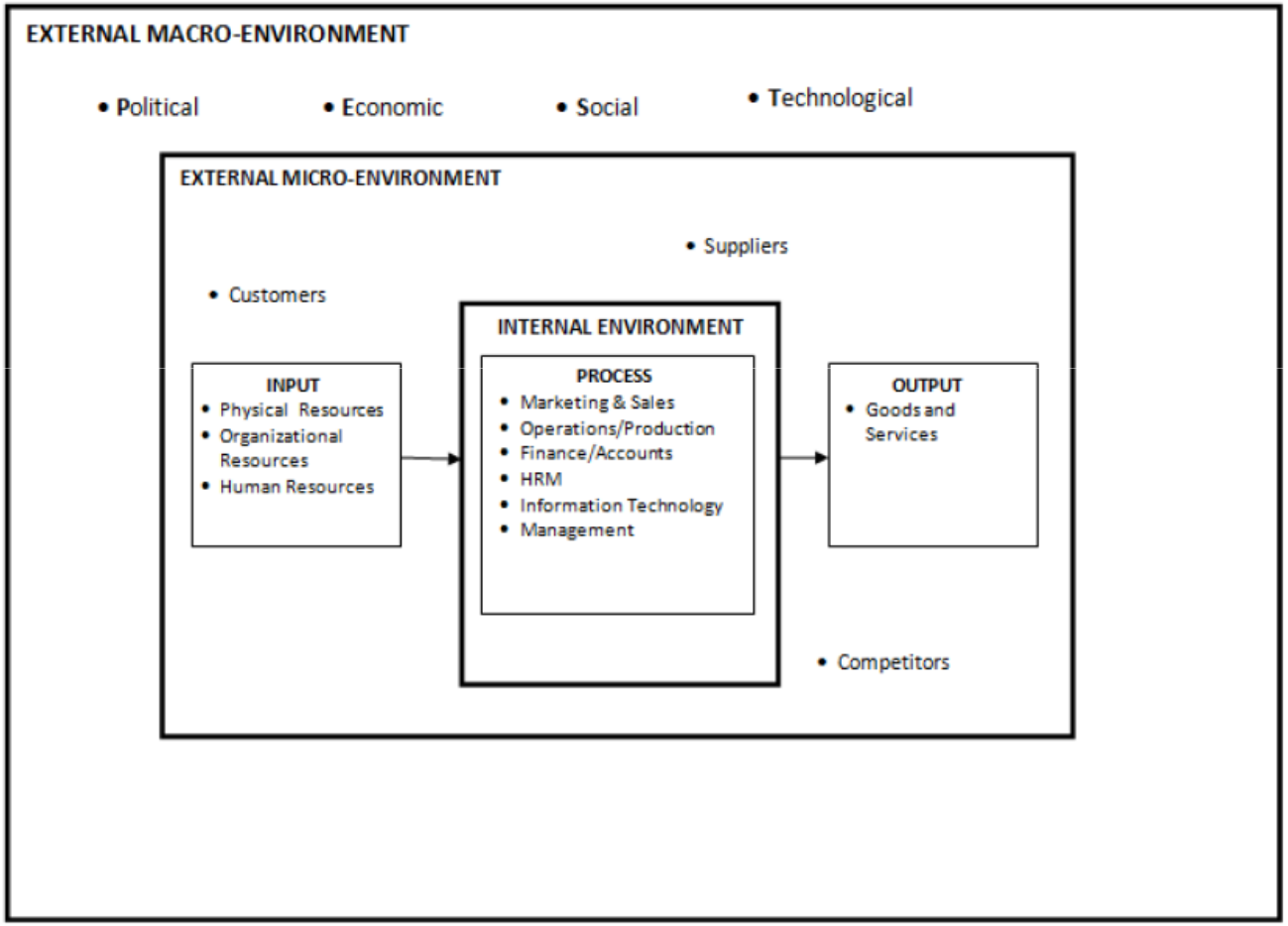
Strategic Planning Process Model

- In the model, the company, defined by its mission (what the company does) and vision (where it is going), must first analyze its environment
- The environmental analysis reveals opportunities and threat in the external environment as well as strengths and weaknesses inside the organization

Strategic Planning Process Model

- Strengths, weaknesses, opportunities, and threats (SWOT) must be analyzed to determined what goals and objectives can be pursued
- A choice of strategy must be then made and implemented

The Business Environment



The Business Environment

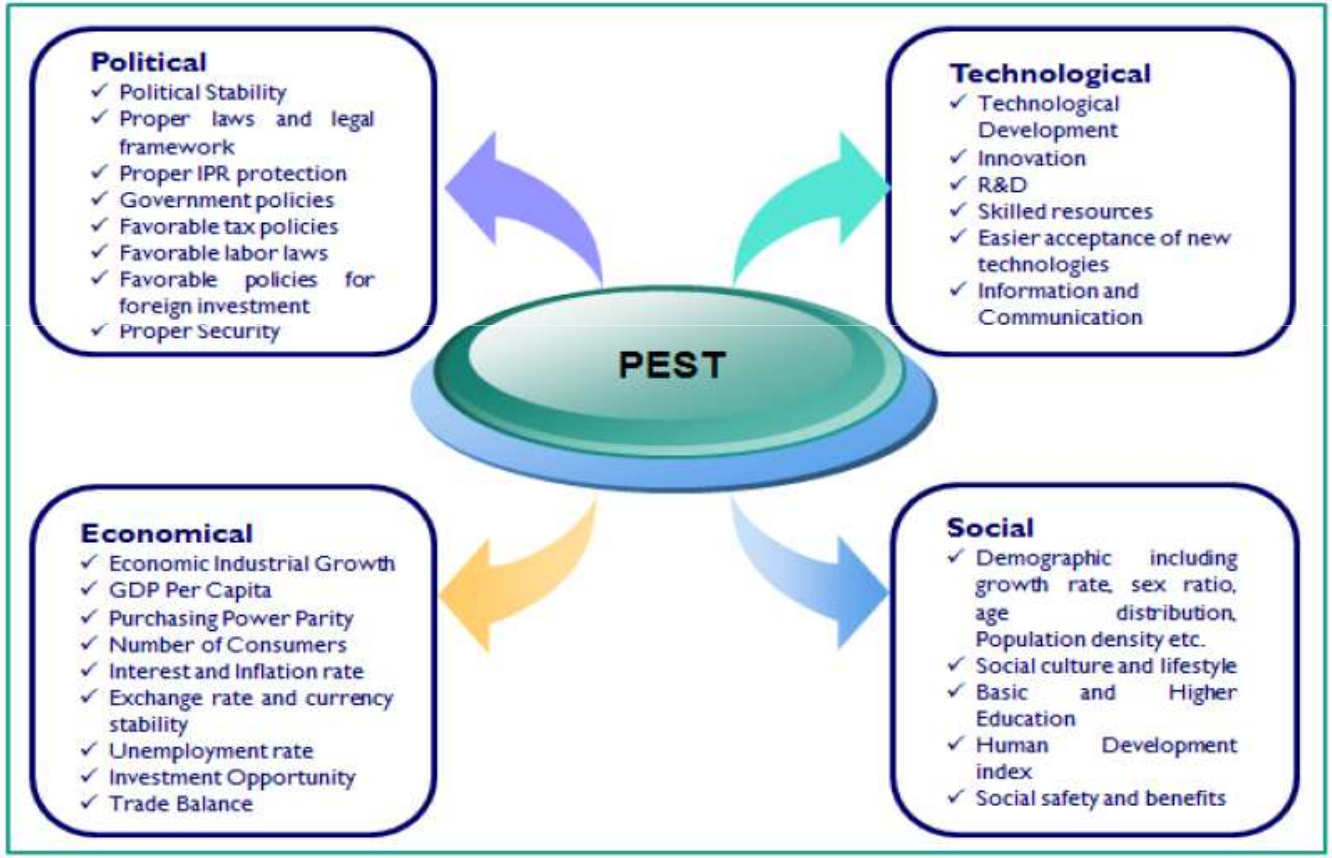
- The company operates in a business environment
- The internal environment is inside the organization, and management has a great degree of control over this environment
- The external environment is outside the firm and management has little or no control over this environment

The Business Environment

- There are two types of external environments:
  1. The macro-external environment or macro-environment (P.E.S.T.; national and global)
  2. The micro-external environment (industry and market)
- There are two types of microenvironments (industry and market):
  1. The micro-external environment
  2. The micro-internal environment or internal environment

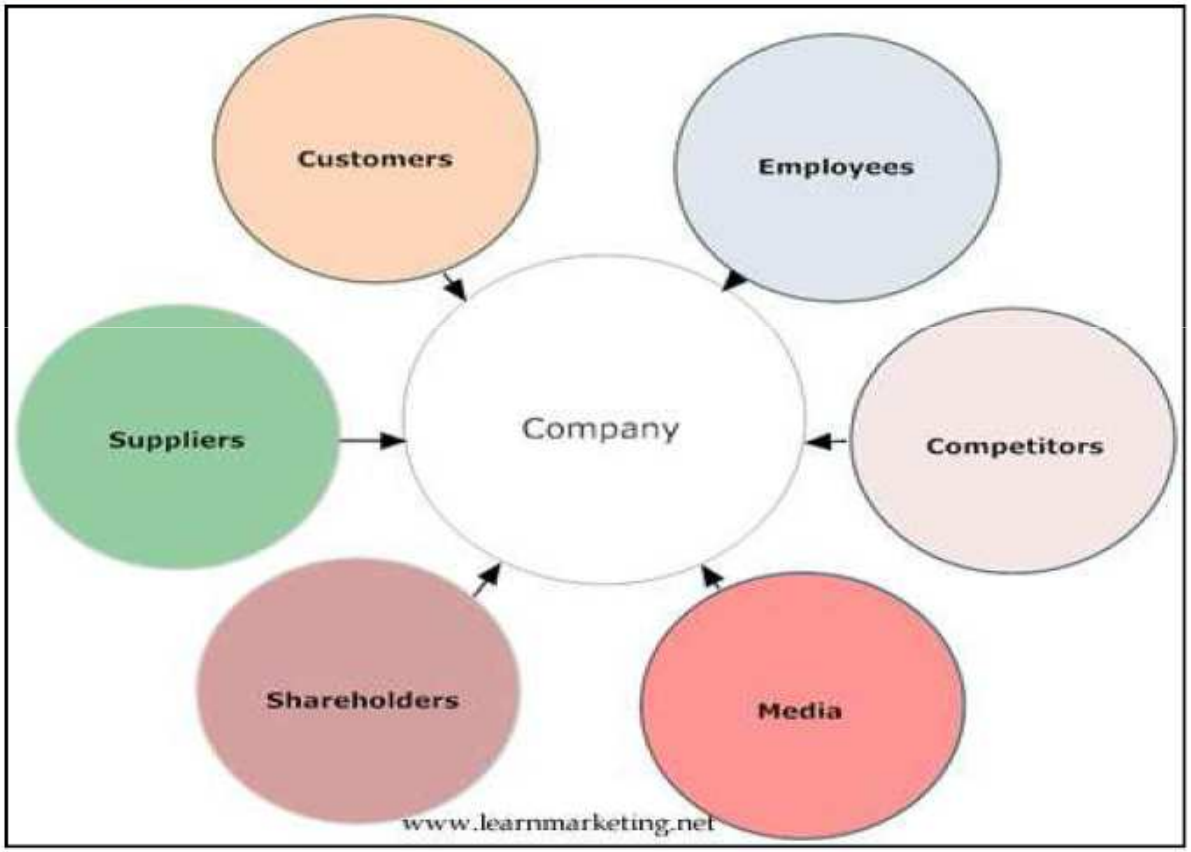
The Business Environment

External (Macro) Factors

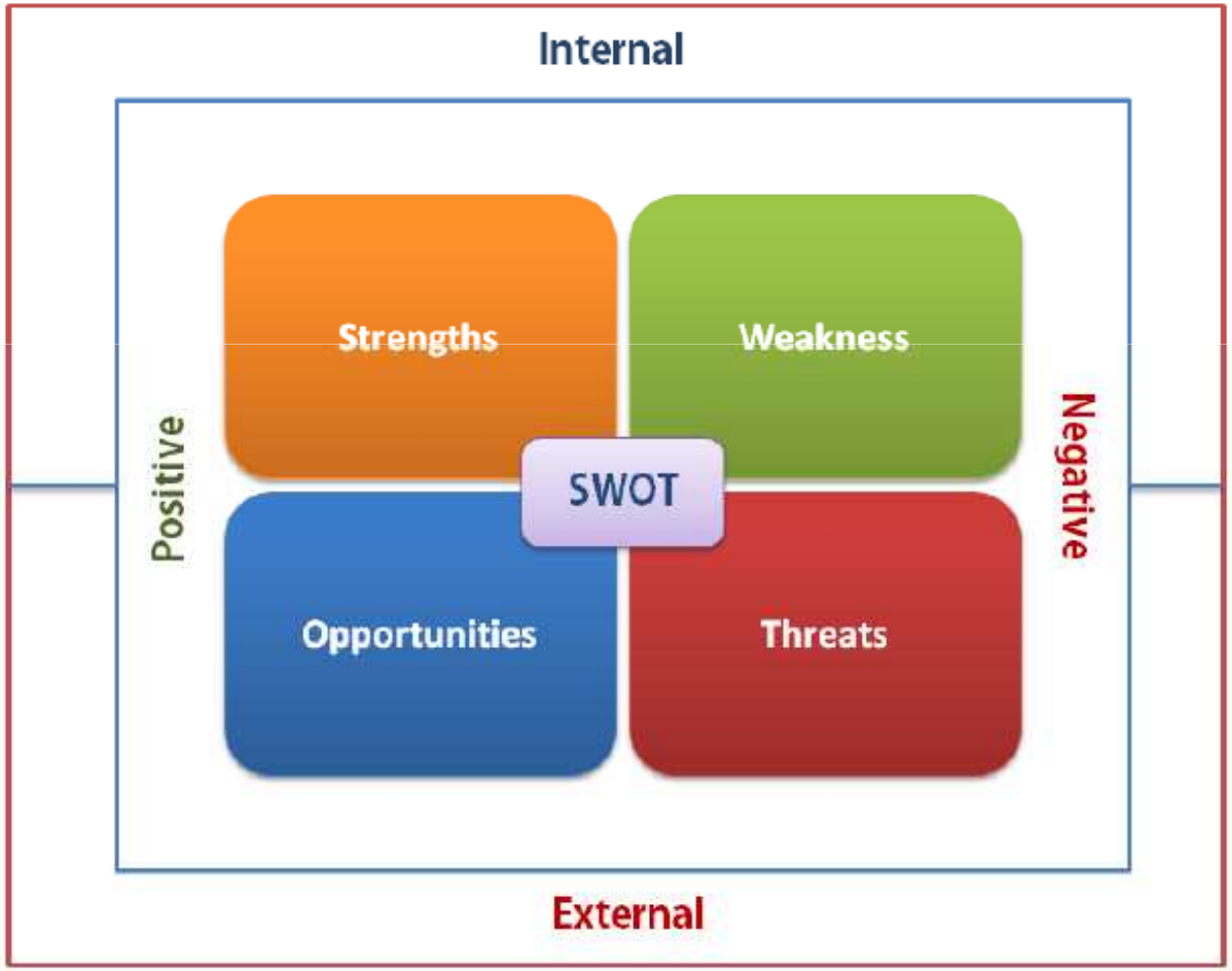


The Business Environment

Micro Environmental (Internal and External) Factors



SWOT Analysis



SWOT Analysis

- The purpose of the environmental analysis is to reveal the SWOT
- Strengths and weaknesses are derived from the internal analysis
- Opportunities and threats are derived from the external analysis

SWOT Analysis

- Strengths and opportunities are positive for the organization
- Weaknesses and threats are negative to the organization
- The SWOT helps the company to determine its goals and objectives or to decide whether its current plans should or should not be executed

SWOT Analysis

Examples of SWOT factors that impact the organization:

Strengths

- Management experience
- Competence
- Efficient Processes
- Good Cash Position

Opportunity

- New technology available
- Favourable foreign exchange rate
- Government incentives
- GDP Growth

Weaknesses

- Poor organizational structure
- High staff turnover
- Outdated equipment
- Low efficiency

Threats

- New business taxes being imposed
- Two large competitors entering the market
- Changing tastes of consumers away from the company's product

Mission

- A statement of why the organization exists
- It provides insight into the overall goal of the organization, and its operations
- It identifies what products and services are being offered
- It may also tell of the customers, market, and geographical location the company serves

Vision

- A statement of where a company sees itself in the future
- It is an idealized description of the desired outcome that inspires, energizes, and helps you create a mental picture of your target
- It can be used as a guide to help the organization make decisions that align with its philosophy and declared set of goals

Goals and Objectives

- Goals are more specific and address areas that the firm is trying to achieve, such as market standing, innovation, productivity, physical and financial resources
- Objectives are specific statements of anticipated results that further define the organization's goals

Goals and Objectives

- Goals and objectives should be **SMART**
  - Specific: clear with an endpoint
  - Measurable: instruments to track progress
  - Attainable: something that can be achieved
  - Relevant: pertains to the desired outcome
  - Time specific: in a given timeframe

Strategy Formulation

- Takes place after the organization does its environmental and SWOT analyses, and determines its goals and objectives
- It requires making a choice of strategy to pursue
- It takes place at two levels: the corporate level and the business level

Strategy Formulation

- Corporate level strategies:
  - Growth strategy
  - Stability strategy
  - Defensive/retrenchment strategy
  - Combination Strategy
- Business level strategies
  - Cost leadership
  - Product/service differentiation
  - Market segment differentiation

Implementation Strategy

- It is important that resources be allocated to support strategy implementation
- All functional areas (marketing/sales, IT, HRM, finance and accounting, operations, etc.) in the organization need to work on their own strategy that supports the main strategy
- HRM's strategy is formulated through HR planning

Human Resource Management and Strategy

- Four levels of integration existing between the HRM function and the strategic management function:
  - **Administrative linkage:** this is the lowest linkage. HR is administrative only; not involved with strategy formulation
  - **One-way linkage:** HR is informed about the plan but is not involved in its formulation
  - **Two-way linkage:** HR is informed of the strategy, analyzes and comments on the HR implications, and develops its plan to implement the strategy
  - **Integrated:** HR is part of the directorship and takes part in planning and implementing the strategy